

which can outcompete them in world markets. The increase of economic competition between rising and declining capitalist powers eventually leads to economic conflict and imperial rivalries.

Although Marx and Lenin viewed colonialism as a necessary evil that would bring capitalist development to the colonial territories, industrialization and development did not occur as anticipated. For example, even after most Latin American colonies gained their independence from Spain and Portugal in the early nineteenth century, their production continued to be concentrated on primary products, their industrialization was limited, and they were highly dependent on capital and technology from the advanced industrial states. The failure to bring about capitalist development in the colonies and former colonies led to major rifts among the Marxists. Most notably, Otto Kuusinen, a Finnish member at the Sixth Congress of the Communist International (Comintern) in 1928, argued that imperialism was economically regressive rather than progressive as Lenin had maintained. The views of Marxists such as Kuusinen were particularly important: they provided a basis for the arguments of the Latin American dependency movement that emerged after World War II.¹⁸ As the following discussion demonstrates, dependency theorists "turned classical Marxism on its head" and focused on capitalism's role in hindering rather than facilitating Third World development.

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DEPENDENCY THEORY

Writers on dependency (or *dependencistas*) were originally Latin American and/or focused on Latin America, and **dependency theory** became the dominant approach to development among Latin American intellectuals in the 1960s. Many of the early studies were published only in Spanish; it was not until a number of years later that most English-speaking scholars became aware of dependency theory.¹⁹ Dependency theorists reject the optimism of liberal modernization theorists (discussed in Chapter 4) and maintain that the advanced capitalist countries either underdevelop the Third World or prevent Third World countries from achieving genuine autonomous development. The discussion here examines the origins, basic tenets, and critiques of dependency theory.

The Origins of Dependency Theory

Dependency theory is based on two major theoretical traditions: Marxism and Latin American structuralism. Some of the most prominent writers on dependency explicitly express their allegiance to Marxism.²⁰ Dependency theorists, like Marxists, limit their studies almost exclusively to capitalist development, and they adopt much of the language of Marxists, using terms such as *class*, *mode of production*, and *imperialism*. Dependency theorists and Marxists also have a common commitment to taking political action as well as conveying ideas, and both groups advocate the replacement of capitalism with socialism. However, Marxists take a more doctrinaire approach than many dependency theorists regarding the inevitability of socialism.²¹

A fundamental difference between Marxism and dependency theory is the fact that dependency theorists focus almost exclusively on North-South relations and on development problems in the Third World. As we discussed, dependency theorists also strongly reject Marxist views that Northern industrial countries are performing a service to Third World countries in the long term by contributing to the spread of capitalism. A key figure in the transition from classical Marxism to dependency theory was Paul Baran, whom some refer to as the father of the dependency approach. Baran was the first important Marxist theorist to view the Third World as a major area of study, and he also differed from his predecessors in arguing that capitalist development was a fundamentally different process in advanced and underdeveloped countries. Unlike Marx, who viewed colonialism as enabling countries such as India to advance from the Asiatic to the capitalist mode of production, Baran emphasized the contradictions between the objectives of the advanced capitalist states on the one hand and the development of "backward" nations on the other. Thus, Baran wrote that

economic development in underdeveloped countries is profoundly inimical to the dominant interests in the advanced capitalist countries. Supplying many important raw materials to the industrialized countries, providing their corporations with vast profits and investment outlets, the backward world has always represented the indispensable hinterland of the highly developed capitalist West. Thus the ruling class in the United States (and elsewhere) is bitterly opposed to the industrialization of the so-called "source countries."²²

Baran further argued that foreign capitalists prevent Third World industrialization by forming alliances with elites in LDCs who also oppose it. These elites include feudal landed interests and a *comprador class* composed of merchants who import manufactured goods from the industrial states. Baran moved away from the Marxist position to the view that capitalist development in the industrial states occurs at the expense of autonomous development in the Third World. His view was to become a fundamental tenet of the dependency approach.

In addition to its beginnings in Marxism, dependency theory also has origins from Latin American structuralism, particularly the ideas of the Argentinian economist Raúl Prebisch, who became director of the United Nations Economic Commission for Latin America (ECLA) in the late 1940s. Prebisch and his followers were called structuralists because they focused on the structural obstacles to Third World development. Prebisch particularly questioned the assumptions of liberal trade theory that everyone benefits from trade, and he argued instead that Third World countries in the periphery of the global economy suffer from declining terms of trade with advanced industrial states in the core. Third World countries, according to Prebisch, are at a marked disadvantage because they export mainly primary commodities and import finished goods from the core. While demand for finished goods increases with rising incomes, demand for primary products remains relatively constant (for example, wealthy individuals drink only so much coffee or tea, regardless of their incomes). Furthermore, the industrial states can often develop substitute or synthetic products if Third World countries attempt to charge higher prices for their raw materials.

According to Prebisch and his followers, Third World countries could develop only through government involvement to promote industrialization and decrease dependence on trade with the advanced industrial states. Thus, they advised Third World states to follow import-substituting industrialization policies to protect their industries, imposing tariff and nontariff barriers and emphasizing domestic production rather than exports.²³ A number of LDCs, especially in Latin America, were influenced by Prebisch's structuralist views, and they adopted ISI policies in the 1950s and 1960s. By the 1960s, however, there was growing disillusionment with ISI policies, which contributed to a wide range of problems for LDCs, including uncompetitive industries and growing balance-of-payments deficits. Scholars challenged the Prebisch approach from both the right and the left, and many left-leaning scholars turned to dependency theory. Dependency theorists adopted many of Prebisch's ideas, but their views of both the problems and solutions for the Third World were generally more extreme than those of Prebisch. Unlike Prebisch, for example, most dependency theorists did not believe that the core would ever willingly transfer resources to the periphery, and many dependency theorists called for a domestic social revolution in Third World countries and a severing of contacts with the advanced industrial states.²⁴

The Basic Tenets of Dependency Theory

A discussion of the basic tenets of dependency theory is complicated by the fact that there is considerable variation among writers in this tradition. In efforts to organize the discussion and draw comparisons among dependency theorists, the next sections examine the source of Third World problems, possibilities for development in the periphery, and prescriptions for change.

The Source of Third World Problems Dependency theorists reject the views of liberal theorists that Third World economic problems result primarily from inefficient domestic policies and that greater North-South interdependence promotes Third World development. In contrast, dependency theorists argue that structural factors related to the global capitalist economy are primarily responsible for constraining development possibilities in the Third World. While the core countries benefit from their capitalist global linkages and experience dynamic development based on internal needs, development in the peripheral countries is severely constrained as a result of their interaction with the core.

Although dependency theorists attach primary importance to external constraints on development, they are also interested in the class linkages between individuals within the peripheral and core states. Thus, they describe the development of a class alignment in the South, where elites in Third World countries (compradores) act as intermediaries between the capitalist international order on the one hand and the subjugated local peoples on the other. While this collaborating *comprador* class may have local concerns, it ultimately depends on the international economic order to ensure its survival as a class. Thus, the main political alliances of the *compradores* are with for-

eign capitalists, and the elites in the South often take actions that reinforce the pattern of Third World dependency.²⁵

LDC Possibilities for Development Dependency theorists have had differing views regarding LDC possibilities for development. Some early theorists argued that the development of the capitalist economies in the core requires the underdevelopment of the periphery. These theorists were highly deterministic: they believed that LDCs cannot escape from underdevelopment as long as they maintain linkages with the wealthy capitalist states. Although today's developed countries may have been underdeveloped in the past, they were never underdeveloped because they were not part of the periphery in the global capitalist economy. The peripheral countries of today, by contrast, became underdeveloped *as a result of* their involvement with the countries in the capitalist core.²⁶

However, theorists who argued that underdevelopment was the only possible fate for peripheral countries found it increasingly difficult to explain why industrialization was occurring in some LDCs. Liberals, realists, and some Marxists all pointed to the fact that newly industrialized countries such as South Korea, Taiwan, Brazil, and Mexico were experiencing impressive economic growth rates. Dependency theorists responded to this dilemma by introducing the concept of *dependent development*.²⁷ Certain LDCs can undergo development, according to this view, when a particularly favorable alliance forms between foreign capital, domestic capital, and the Third World state. This alliance enables the Third World country to benefit from capital accumulation and from some degree of industrialization.

Those who write about dependent development are more attuned than earlier dependency theorists to the wide variety of local conditions and dependency relations in the Third World. Despite recognizing the diversity of LDC situations, however, these authors maintain that even the more favored LDCs remain fundamentally dependent and cannot attain genuine autonomous development. In the final analysis, those LDCs experiencing dependent development cannot escape from their dependent linkages with the core countries, and their development is therefore conditioned by the requirements of the core. Dependency theorists argue that although the NICs seem to be examples of success in the Third World, workers in these countries often receive low wages and produce less technologically sophisticated goods than those of the industrial states in the core.²⁸

Prescriptions for Change Dependency theorists believe that LDCs cannot escape from their dependent position in the capitalist system; thus, they often prescribe a breaking of linkages with the core countries and/or a socialist revolution to bring about more social justice and equality. The goals of autonomy and socialism are not necessarily compatible, however, and theorists do not explicitly state which of these two goals is more important for decreasing dependency. Those who emphasize autonomy tend to call for highly nationalistic and antiforeign actions such as the cutting of linkages with the developed core states. Such actions do not ensure that the other goal of dependency theorists will be achieved; policies that increase a state's autonomy do not ensure that there will be more social justice or equality for the bulk of the population.

Nevertheless, dependency theorists at least hope that an end to dependent linkages will lead a country to "emphasize distribution and participation rather than accumulation and exclusion."²⁹

Although dependency theorists call for socialism as one of their two main goals, they do not clearly indicate what they mean by the term, they do not explain how a socialist revolution will enable countries to escape dependency, and they do not describe how the revolution will occur. Dependency theorists also do not explain how peripheral countries can become more autonomous and "de-link" themselves from the core countries. The vagueness of prescriptions in dependency theory relates partly to the tension between the goals of autonomy and socialism and partly to the fact that Marxist-Leninist predictions regarding a socialist revolution in the advanced industrial states often proved to be inaccurate.

Critiques of Dependency Theory

Dependency theory became a favorite target of criticism in the 1970s and 1980s, and other theories have subsequently become more important in the historical structuralist school. One major criticism is that dependency theorists do not adequately define their basic concepts. For example, theorists tend to view countries in dichotomous terms as either dependent or not dependent, and it is unclear how one can measure lesser or greater *degrees* of dependence. There are also different *forms* of dependence, such as military, economic, and cultural dependence, but these different forms are not usually identified. Furthermore, "developed versus underdeveloped" or "core versus periphery" are extremely broad categories that include a wide range of countries. What does the term *underdeveloped* signify when it includes countries as diverse as Brazil, India, and Haiti? How does one justify including Portugal along with the United States, Japan, and Germany as a developed country in the core? Critics argue that these concepts are too vague to make the types of distinctions required for good theorizing.³⁰

A second criticism relates to the preoccupation of dependency theorists with capitalism and their failure to consider other forms of exploitation. Some critics argue that the most important factor in dependency is not capitalism (as dependency theorists maintain) but unequal power among states. As long as power is unequal, larger and more powerful states are able to impose dependence on smaller states.³¹ Thus, some scholars have done studies of the former Soviet bloc to demonstrate that dependency relations can also exist in noncapitalist systems. These studies show some marked differences between the Soviet and Western systems. For example, postwar Soviet dominance contributed to rapid industrialization with an emphasis on heavy industry in Eastern Europe, which was quite different from the Western model in the Third World; and political linkages were more important in the Soviet bloc, while economic linkages were central to the West's relations with the South. Despite the differences, however, both the Soviet and the capitalist systems were marked by "asymmetric and unequal linkages between a dominant center and its weaker dependencies."³²

A third criticism is that dependency theory attaches too much importance to the international system and too little to domestic policies and behavior as a source of LDC development problems. Although some of the more astute dependency theorists

do focus on domestic structures in Third World states, they continue to give primacy to the importance of external factors. Dependency theorists therefore have a tendency to portray LDCs as being virtually helpless vis-à-vis outside forces, and they cannot adequately explain why Third World countries sometimes respond in very different ways to similar external constraints. To explain such differences, critics charge, it is necessary to consider the importance of domestic economic and political factors.³³

A fourth criticism is that dependency theory's predictions regarding Third World development prospects are often incorrect. For example, China was often held up as a model of agrarian self-reliance, but in 1976 it turned to a policy of openness rather than closure to promote national development. This change in policy contributed to rapid economic growth in China, and LDCs that are the most integrated in the world economy are sometimes the fastest-growing countries. Finally, we should note that even Marxists criticize dependency theorists for being overly nationalistic and not sufficiently Marxist. These scholars insist that the most fundamental problem is not *foreign* control or domination, as some dependency theorists maintain, but *private* control and domination of the means of production. Thus, they criticize dependency theorists for putting more emphasis on "relations of exchange" (i.e., between core and peripheral states) than on "relations of production" (i.e., between the proletariat and the bourgeoisie).³⁴

The numerous criticisms of dependency theory from both the right and the left have had a telling effect. Thus, one noted dependency theorist predicted in 1985 that the dependency label would disappear because the term was "too closely associated with simplistic hypotheses of external determination" and "the impossibility of either capitalism or democracy on the periphery."³⁵ Some writers have tried to bring back dependency theory or examine its relevance today, but historical structuralists have in general turned their attention to other theoretical approaches. Despite the demise of dependency theory, many of the concerns of these theorists still have relevance today and serve an important role in counterbalancing the biases of the liberal and realist perspectives. In an age of global competition, there is a persistence of hierarchy among states, and a further marginalization of some countries and regions, particularly in the Third World. It is therefore important to heed the message of dependency theorists that genuine economic development can only occur in "a world respecting equality and difference."³⁶ The next section raises questions about the future of the historical structuralist perspective in view of the breakup of the Soviet bloc and the Soviet Union, and the final sections of the chapter discuss some historical structuralist approaches that seem to be particularly promising.

WHITHER THE HISTORICAL STRUCTURALIST SCHOOL OF IPE?

With the failed predictions of the Marxist-Leninists regarding the downfall of capitalism and the problems with some historical structuralist approaches such as dependency theory, numerous questions were raised about the vitality of the historical structuralist perspective in general. Since the breakup of the Soviet bloc and the end of the